

billion in the second quarter—a 61% rise in net income over the same period one year earlier. That brought its earnings over the trailing four quarters to \$152 million, so the stock was trading at just 12.5 times Ball's earnings. And, with a book value of \$1.1 billion, you could buy the stock for 1.7 times what the company's tangible assets were worth. (Ball did, however, have just over \$900 million in debt.)

Stryker was in a different league. Over the last four quarters, the company had generated \$301 million in net income. Stryker's book value was \$570 million. So the company was trading at fat multiples of 30 times its earnings over the past 12 months and nearly 16 times its book value. On the other hand, from 1992 through the end of 2001, Stryker's earnings had risen 18.6% annually; its dividend had grown by nearly 21% per year. And in 2001, Stryker had spent \$142 million on research and development to lay the groundwork for future growth.

What, then, had pounded these two stocks down? Between July 9 and July 23, 2002, as WorldCom keeled over into bankruptcy, the Dow Jones Industrial Average fell from 9096.09 to 7702.34, a 15.3% plunge. The good news at Ball and Stryker got lost in the bad headlines and falling markets, which took these two stocks down with them.

Although Ball ended up priced far more cheaply than Stryker, the lesson here is not that Ball was a steal and Stryker was a wild pitch. Instead, the intelligent investor should recognize that market panics can create great prices for good companies (like Ball) and good prices for great companies (like Stryker). Ball finished 2002 at \$51.19 a share, up 53% from its July low; Stryker ended the year at \$67.12, up 47%. Every once in a while, value and growth stocks alike go on sale. Which choice you prefer depends largely on your own personality, but bargains can be had on either side of the plate.

Pair 7: Nortel and Nortek

The 1999 annual report for Nortel Networks, the fiber-optic equipment company, boasted that it was “a golden year financially.” As of February 2000, at a market value of more than \$150 billion, Nortel's stock traded at